

Case Study: Brighton

Where heartistry meets sustainability



Joseph Anderson



Kaelin Burke



Erik Stensgaard



Overview

Solution

Implementation

Finances

Strategy

Overview



What Matters

- Increasing our sustainable practices
- Our Stakeholders: Customers, Investors, Planet

What Works

- Our focus on customer experience & service
- Industry of pre-loved goods

What Lasts

- Reshaping the leather industry
- Transparency through our supply chain



Customer Attitudes



Environmentally-Conscious

Shifting consumer attitudes lean more environmentally conscious



Ethically Sourced

Consumers want proof their products were sourced ethically



Longevity-Oriented

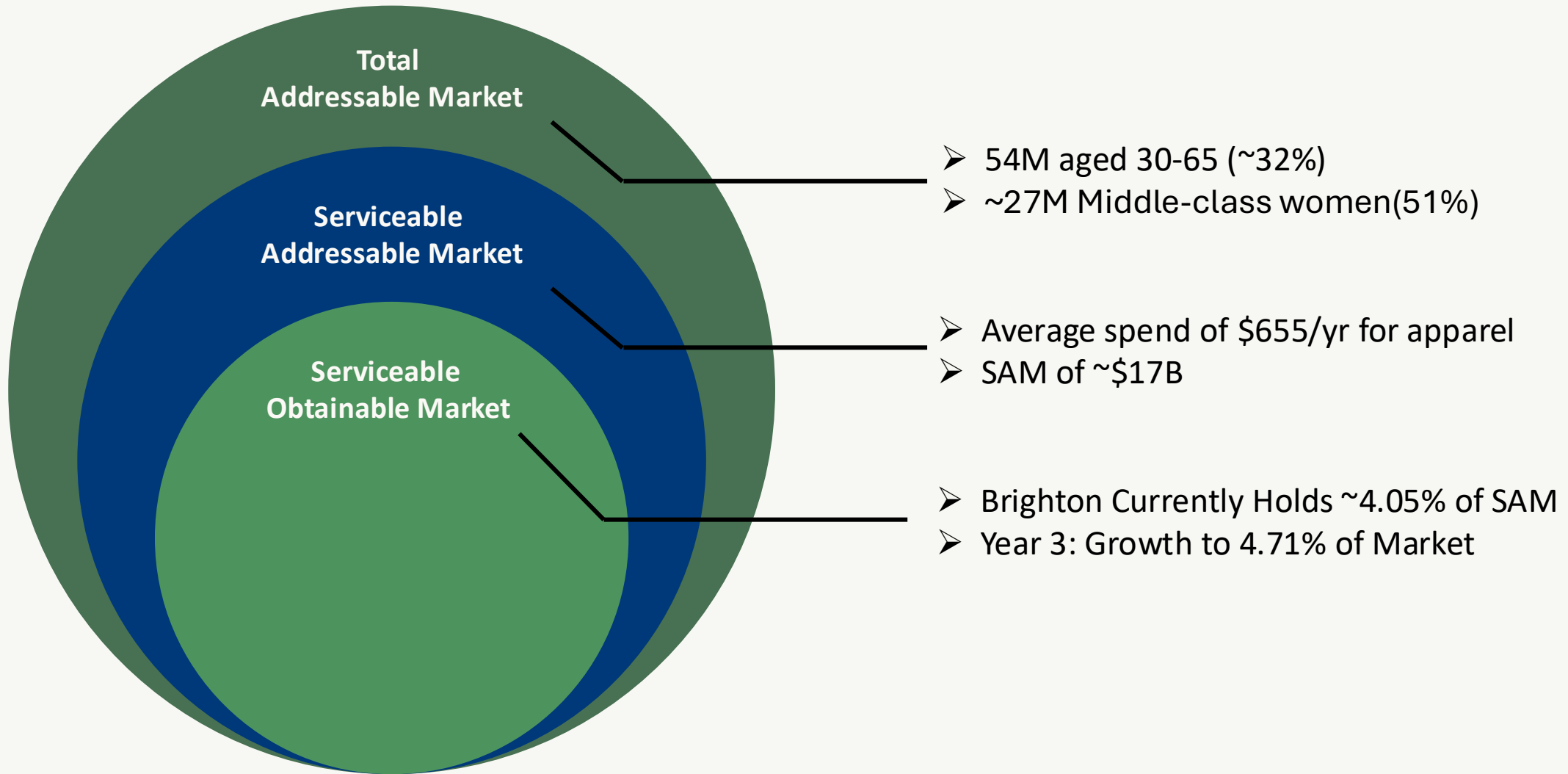
Mid-to-high paying customers will value high quality products



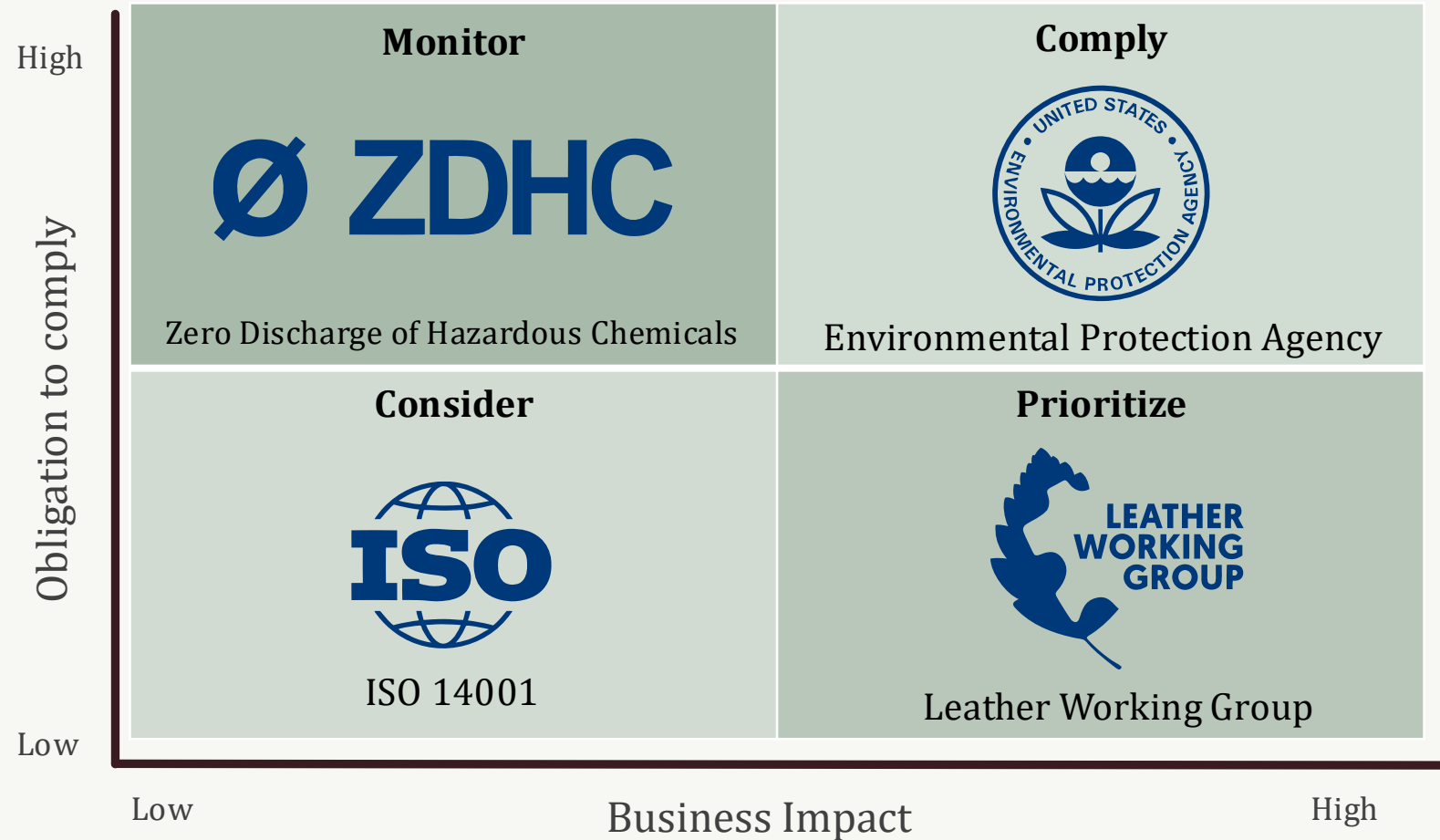
Competitor Matrix



Market Analysis



Legal & Regulatory Analysis



Challenge Statement



*Brighton Collectibles must work to become the **industry leader in sustainability** while finding ways to **expand the business** in line with their brand values of **quality, family, and community**.*



Environmental Analysis



Leather is a byproduct

By using hides that would typically go to waste, leather producers are increasing efficiency



Chrome tanning

Harm is overstated; in properly maintained facilities chrome tanning is safe for workers, and the environment



The illusion of vegan leather

Vegan leather options are simply worse for the environment and the consumer



Decision Matrix



	Leather alternatives	Lifetime warranties	Recycling leather	Traditional leather, with a promise
Environmental				
Profitable				
Legacy-Building				

from
hands
To heart

A Brighton Promise

hands

Collaborating with our suppliers
to protect the planet

Supplier Certifications

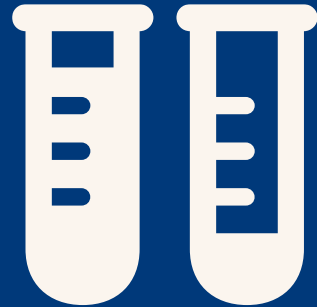


100%



Wastewater
treatment

0%



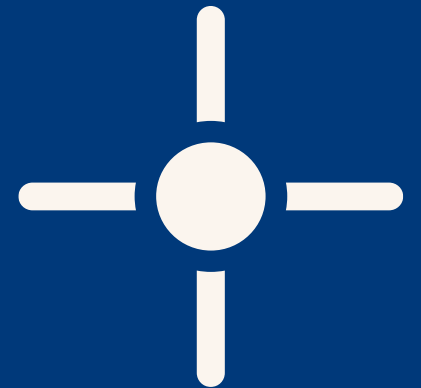
ZDHC Banned
Chemicals

100%



Reducing
agent use

100%

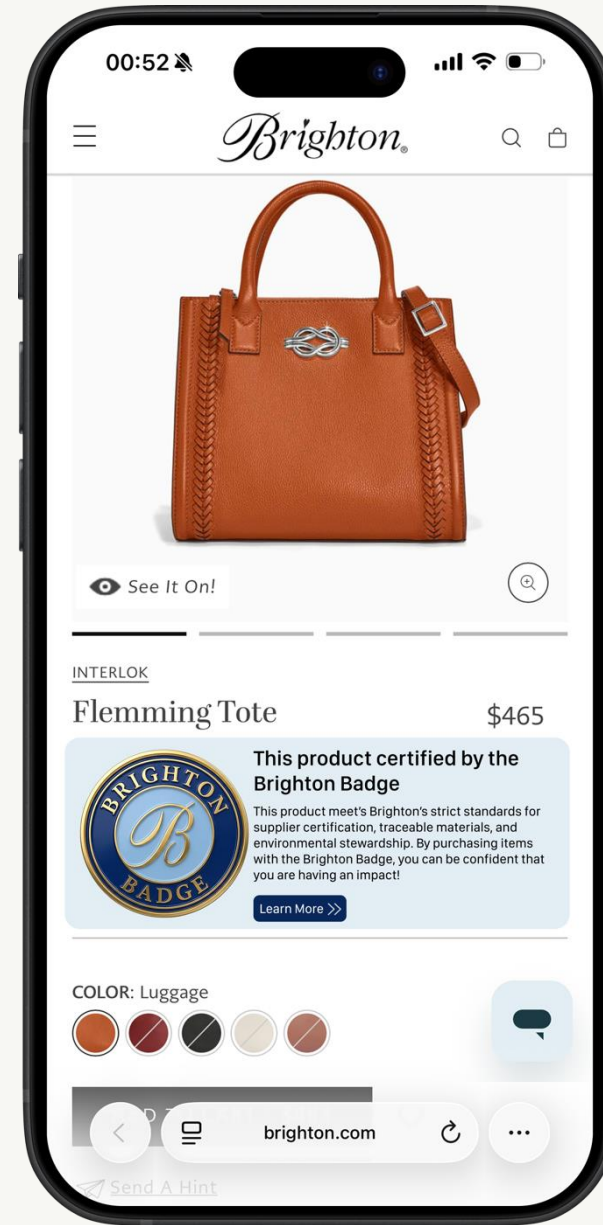


Operational
traceability

The Brighton Badge



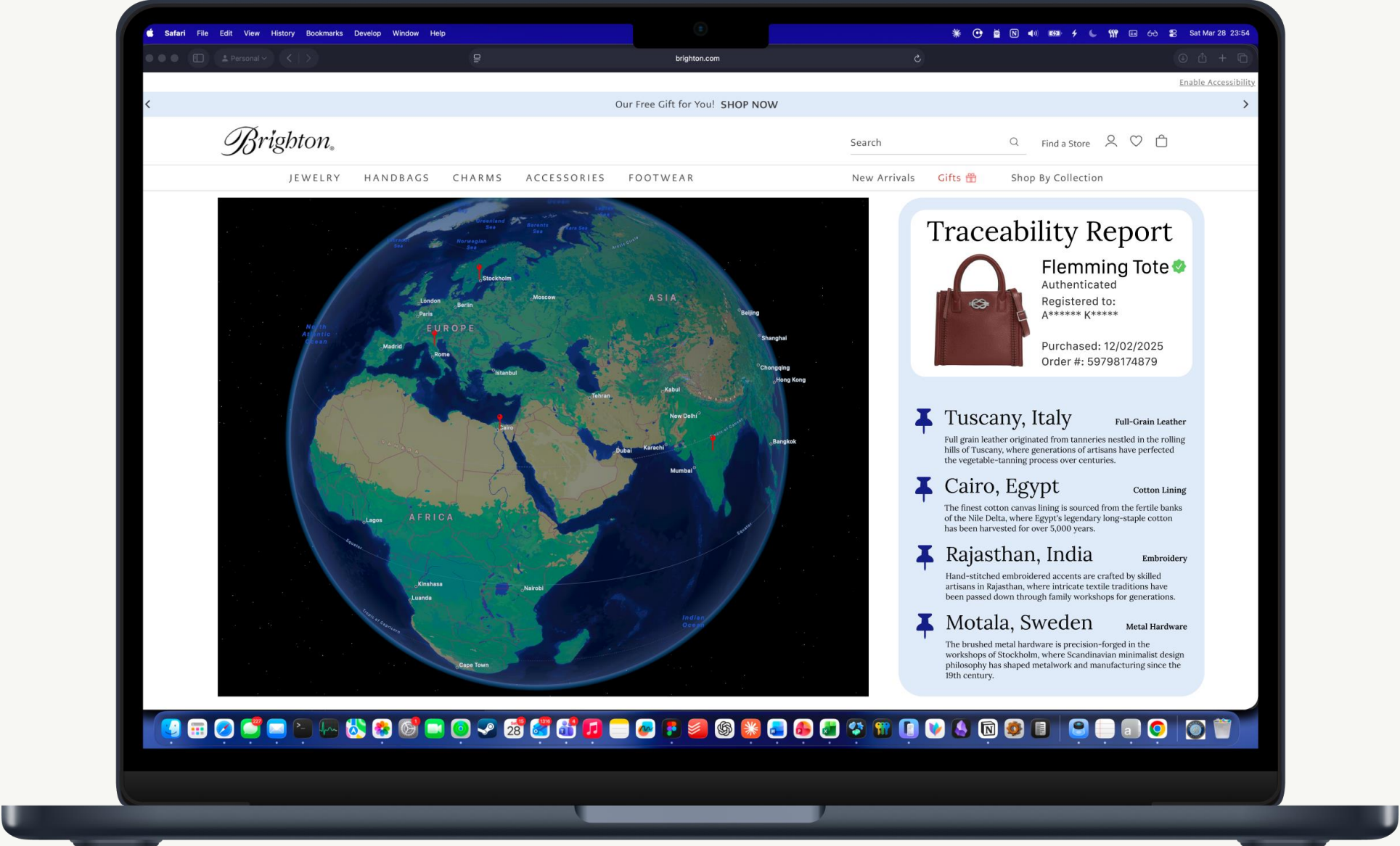
The Brighton Badge



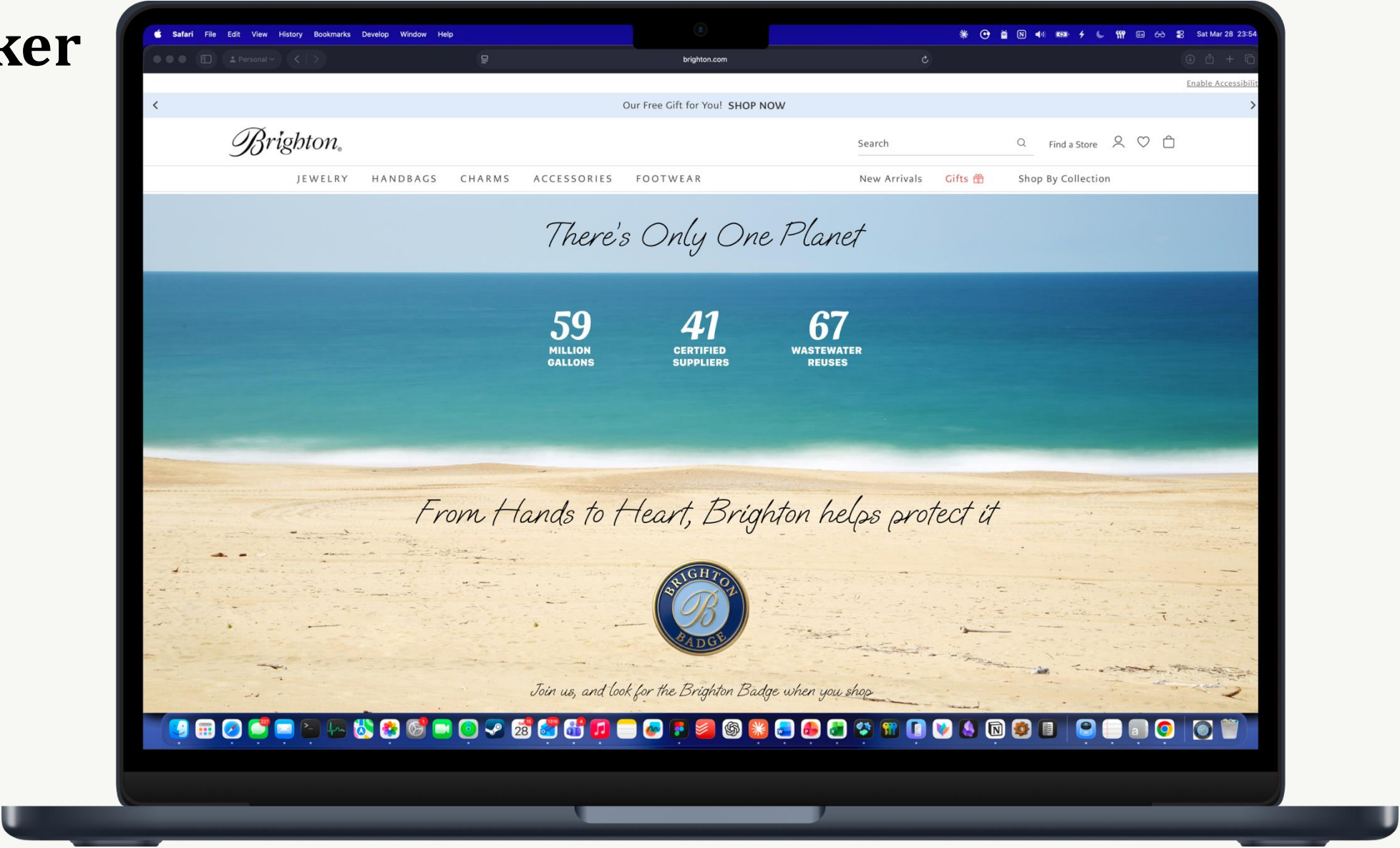
Traceability



Traceability



Impact Tracker



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heart

A commitment to our customers

Customer Profile



Meredith Delgado

43 years old
Los Angeles, CA



Flemming Tote

\$465
Six years ago

Customer Profile



Meredith Delgado

43 years old
Los Angeles, CA



Flemming Tote

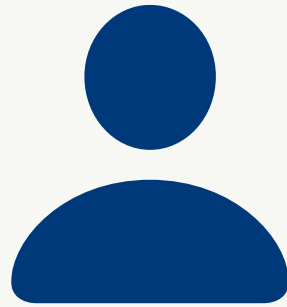
\$465
Six years ago



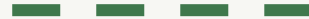
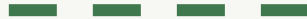
Item Damaged

Major tear through
corner seam

Existing Support



Customer



Brighton

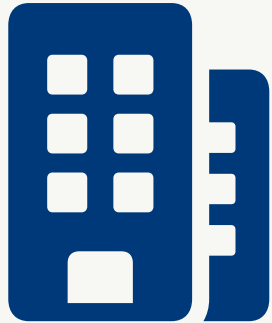
Existing Support



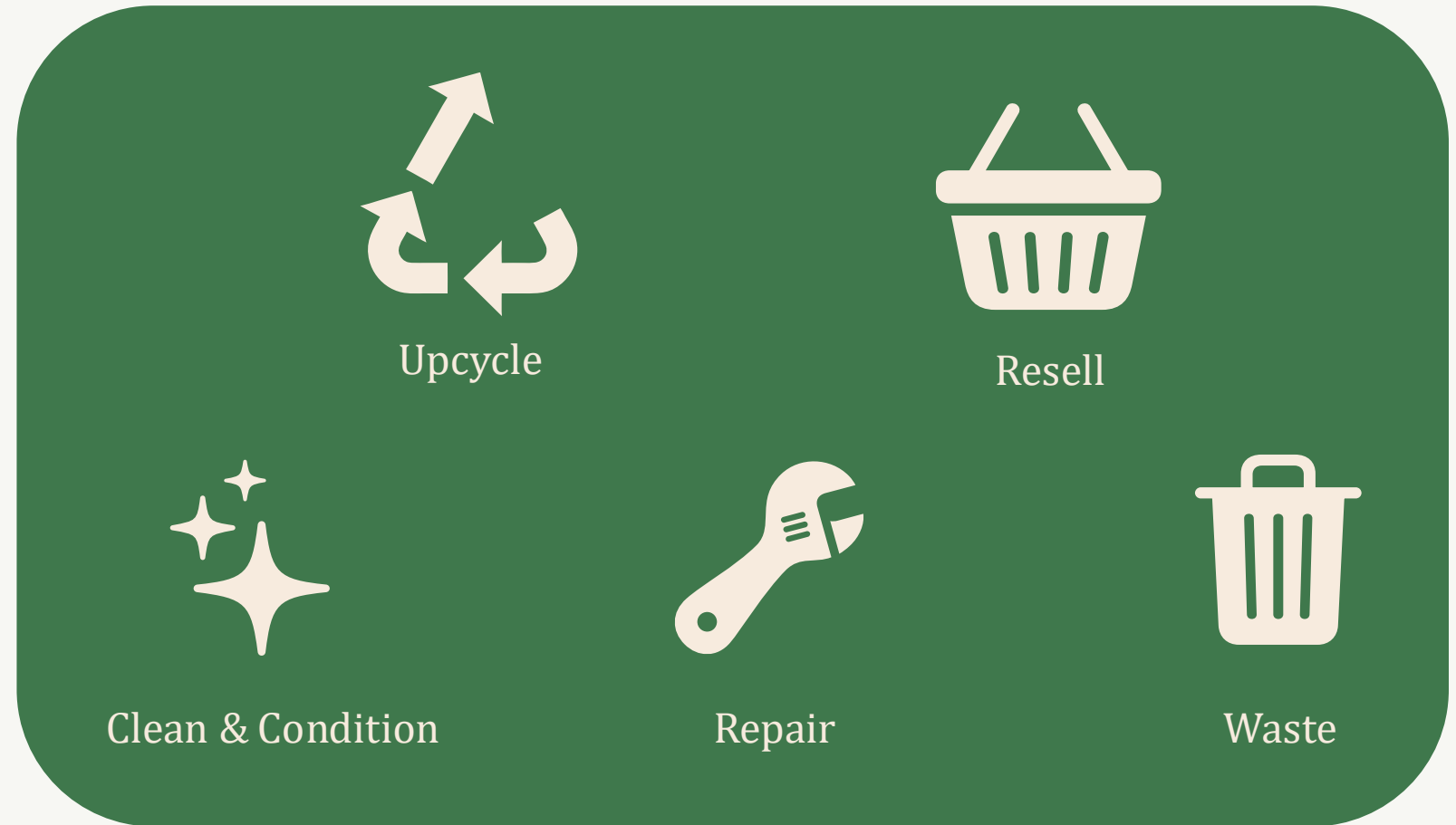
Brighton



Enhanced Capabilities



Brighton



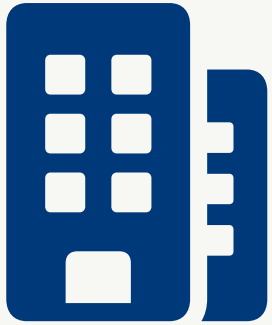
Exchange & Resell



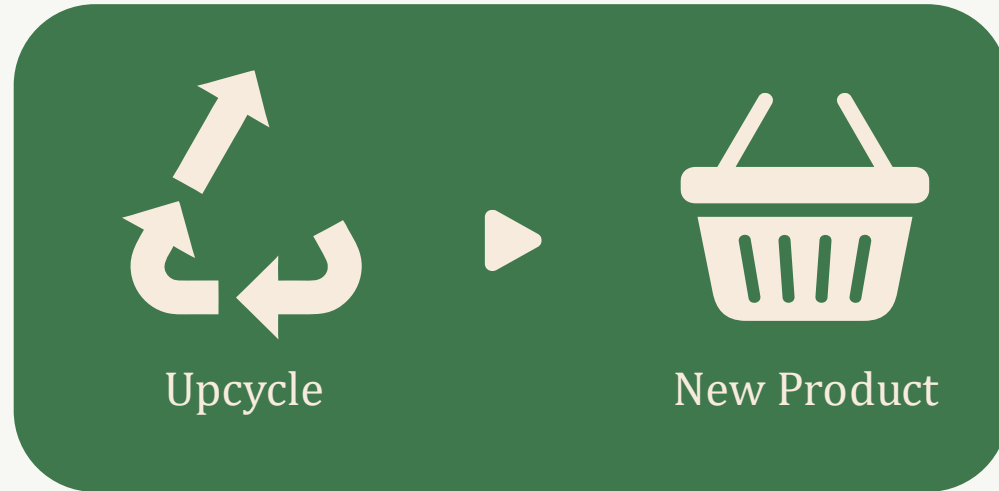
Brighton



Upcycle to New Product



Brighton

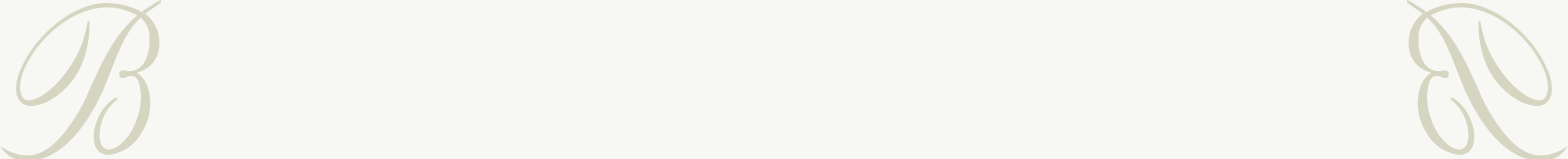


Waste



Brighton





Upcycle



Resell

Brighton Restoration Room



Clean & Condition



Repair

Trade-in Pricing



Pricing Model



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Flemming Tote

\$465
Six years ago



New Wallet

\$99
Today

Upcycling



Flemming Tote

\$465
Six years ago



New Wallet

\$99
Today



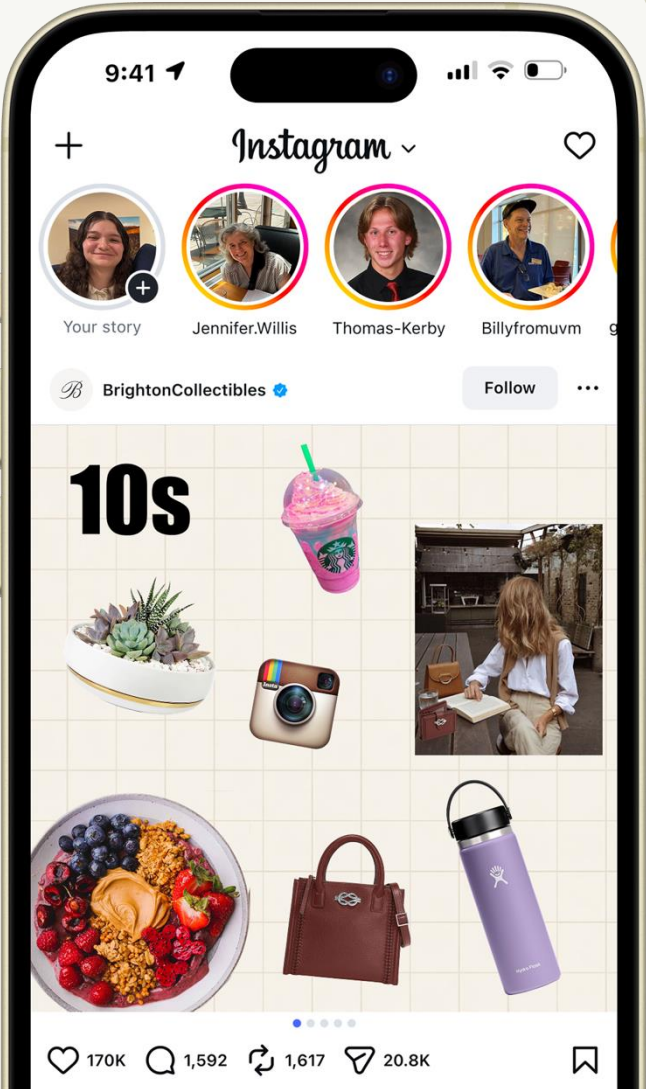
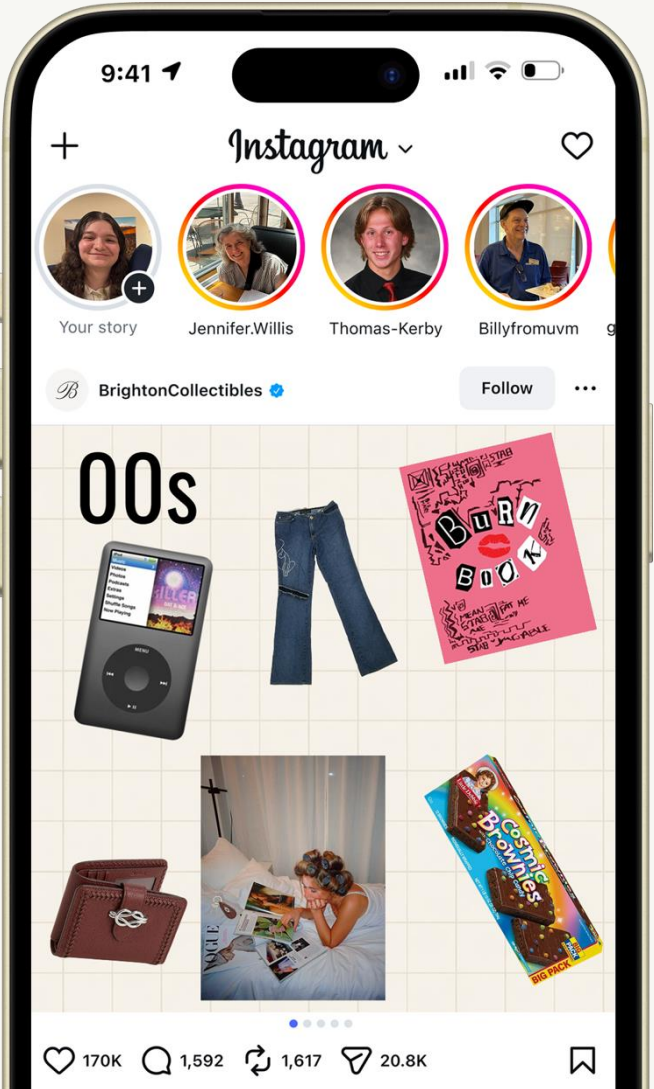
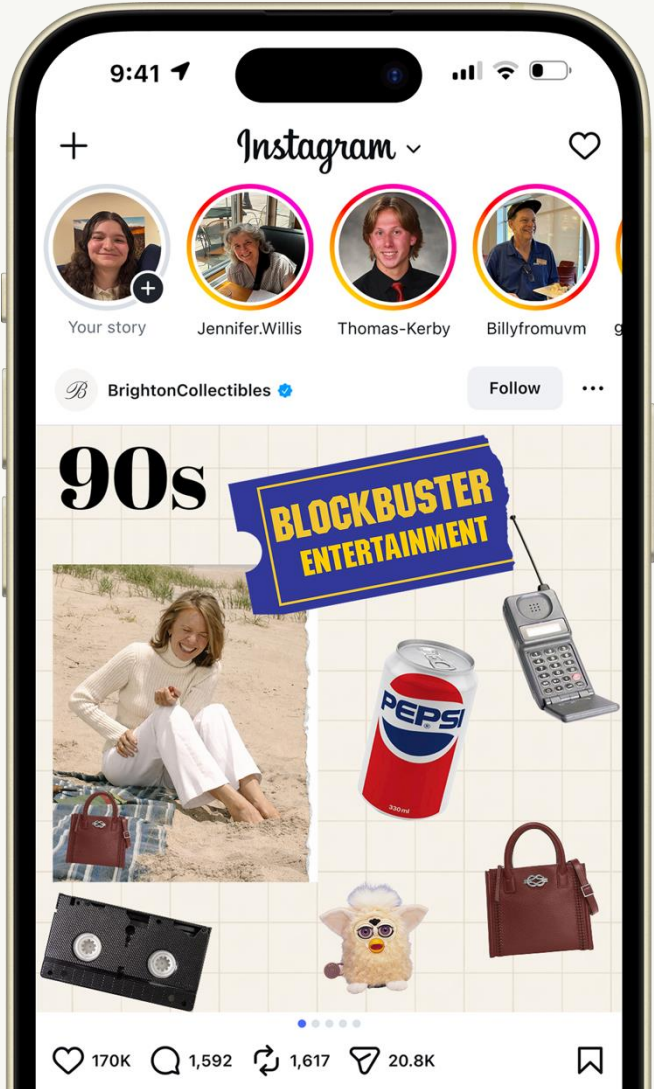
New Keychain

\$39
Tomorrow

The “Love it Longer” Campaign



The “Love it Longer” Campaign

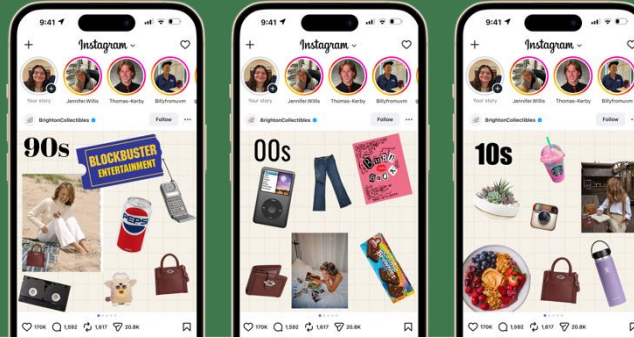




Upcycle



New Campaign!



Love it
Longer!



New supplier
certifications

from
hands
To *heart*

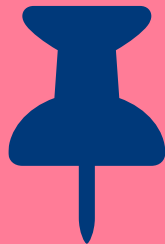


Resell

Brighton



Clean & Condition



Industry-First
Traceability
Platform

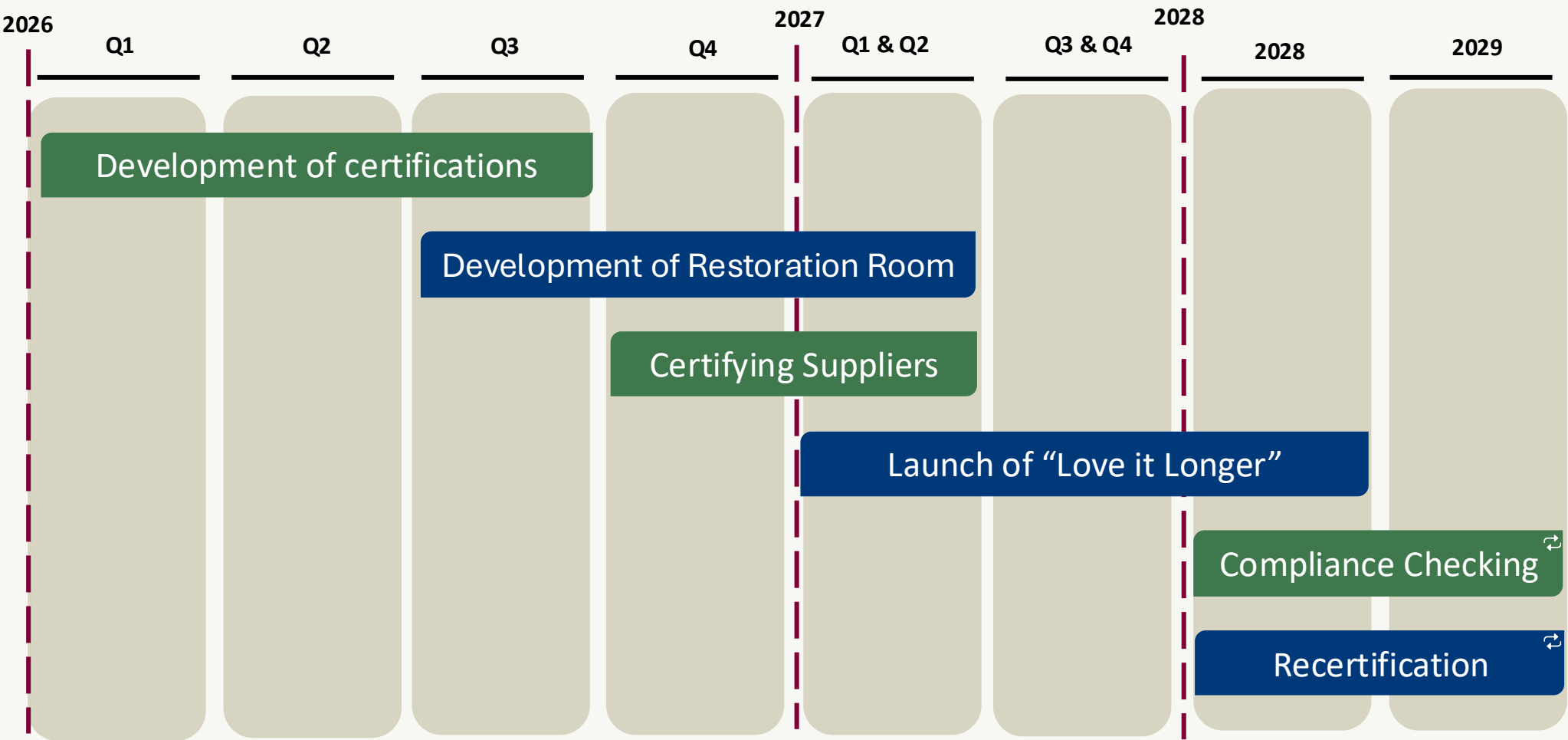


Upcycle it!



Repair

Implementation Timeline



Risk Analysis

Unlikely	Impact				Low usage rate	
Seldom					Marketing failure	
Occasional				Difficulty scaling	Supplier Pushback	
Likely			Political headwinds	Decrease in brand image		
Definite						
		Severity				
		Insignificant	Marginal	Moderate	Critical	Catastrophic

Supplier Pushback

Risk mitigation strategy



Mitigation

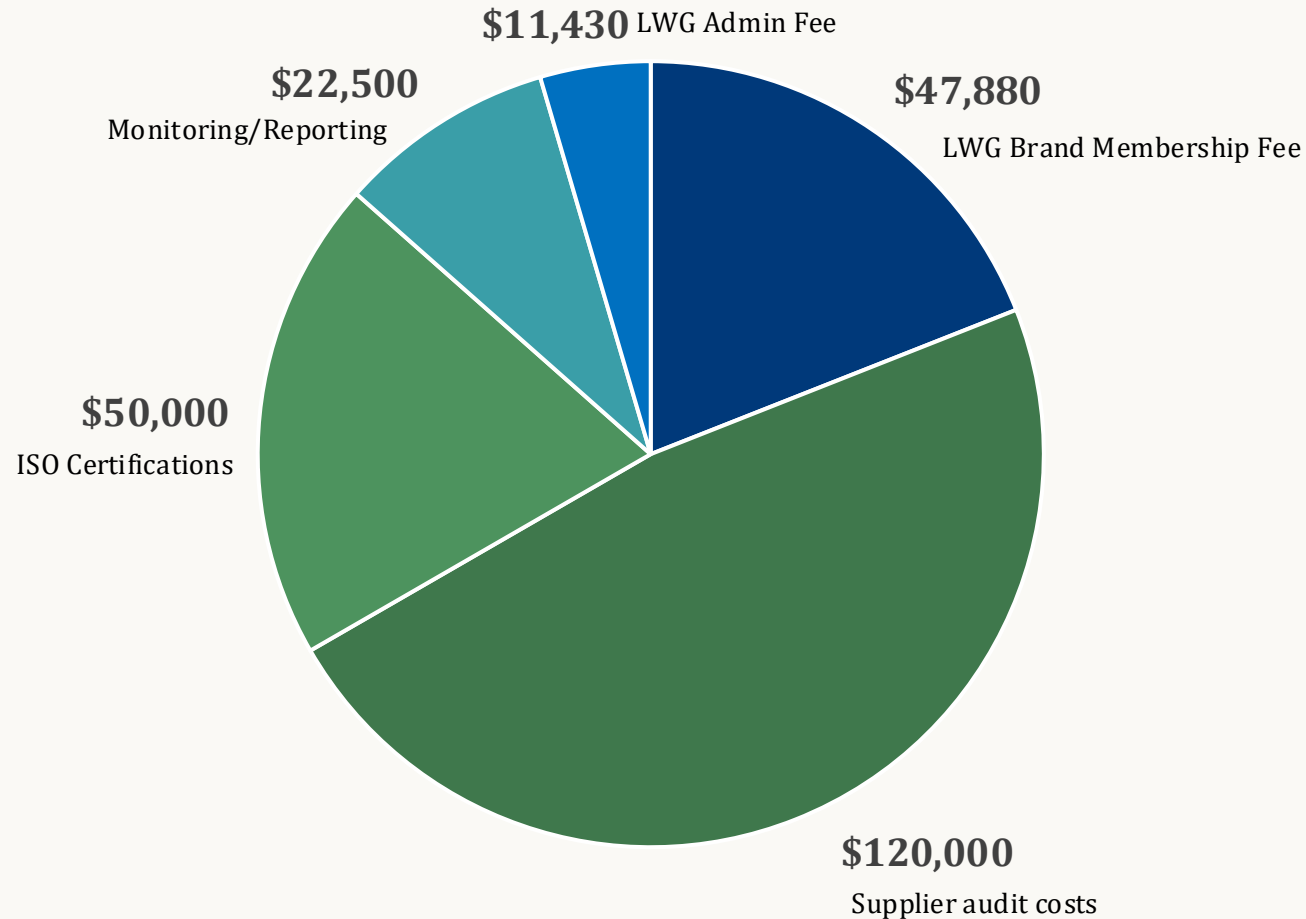
Work with suppliers
to assist in meeting
our criteria



Residual Risk

Suppliers maintain
resistance to new
criteria

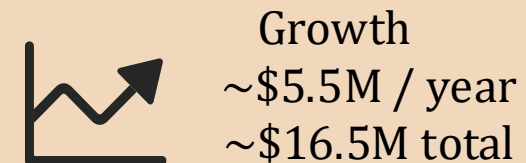
3-Year Cost Structure



Per Year Costs:

- 1** Year 1: \$146,155
- 2** Year 2: \$97,155
- =** Total : \$251,800

Revenue Projections



8-10% overall increase

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Appendix

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F – Financials

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- [F2: Conditions Criteria](#)
- [F3: 3-Year Cost Estimate](#)
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R – Risks & Mitigation

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S – Solution

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Appendix A1: Market Analysis Calculations

TAM

- Total Number of Women in the US: 168M per Census.gov
- 32% aged 30-65 per Census.gov
- ~51% are middle class per Census.gov
- TAM = ~27M

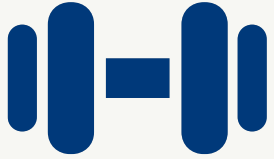
SAM

- Average spend of \$655/yr for apparel per bls.gov
- $\$655 \times 27M = \$17B$

SOM

- \$688.6M revenue per rocketreach.co
- $\$688.6M / \$17B = 4.05\%$ Market Share
- 5% Annual revenue growth YoY according to Census.gov
- 3 Year growth to ~\$800M

Appendix A2: SWOT Analysis



Strengths

Strong brand imaging and ecosystem

High quality products

Established customer based

Strong supplier relations



Weaknesses

Low sustainability

Aging consumer demographic

High shipping costs and logistical overhead

Reliance on 3rd party partners



Opportunities

Expanding sustainability

Revenue and brand recognition growth

Expanding corporate social responsibility efforts

Expanding globally beyond the US



Threats

Aggressive competition within market

Recent decrease in discretionary spending

Rising raw material costs

Issues within the labor market

Appendix F1: Pricing Analysis

Resell Price Table					
Item	Original Price	Condition	Repair/Conversion	Market Benchmark	Calculated Resell Price
Handbag	\$450	Excellent (55-60%)	\$40	\$225-\$275	\$247-\$275
Handbag	\$450	Good (40-50%)	\$50	\$225-\$275	\$200-\$237
Handbag	\$450	Fair (30-40%)	\$65	\$225-\$275	\$135-\$180
Wallet	\$150	Excellent (55-60%)	\$15	\$70-\$90	\$60-\$75
Wallet	\$150	Good (40-50%)	\$16	\$70-\$90	\$45

Trade-in Value Range (estimated based on Coach's model)

Range: \$10-\$250
Based on 30-40% of resale value
(competitors like patagonia and the real real)

Criteria: condition, age, original value

Appendix F2: Conditions Criteria



Condition Criteria ▼	Percent of Original Price ▼	Cost to Repair ▼	Description ▼
Excellent	55-60%	Determined by leatherworks team	Minimal signs of use; almost like new; only minor handling wear
Good	40-50%	Determined by leatherworks team	Some visible wear or minor damage; repairs needed (stitching, strap, surface scratches)
Fair/heavily loved	30-40%	Determined by leatherworks team	Significant wear, scuffs, or damage; repairs extensive or partial repurpose needed

Appendix F3: 3- Year Cost Estimate

3 Year Cost Model	
Cost Assumptions	Years 1-3
Brighton estimated annual rev.	\$688,000,000
LWG brand membership fee/2 year	\$23,940
No. of supplier companies	5
Estimated suppliers per country	4
Total supplier tanneries	20
Audit cost per tannery - low (\$)	\$1,000
Audit cost per tannery - high (\$)	\$5,000
Audit cost per tannery - midpoint (\$)	\$3,000
LWG admin fee/audit	\$381
Certifications/ supplier	\$50,000
Monitoring/reporting per yr	\$7,500

Annual Cost Breakdown				
	Year 1	Year 2	Year 3	3-Year Total
LWG Brand Membership fee	\$23,940	-	\$23,940	\$47,880
Supplier Audit Costs (midpoint)	\$60,000	-	\$60,000	\$120,000
ISO Certifiactions	\$50,000	-	-	\$50,000
Monitoring/Reporting	\$7,500	\$7,500	\$7,500	\$22,500
LWG Admin FEE	\$5,715	-	\$5,715	\$11,430
Total Estimated Cost	\$147,155	\$7,500	\$97,155	\$251,810
Supplier Audit Cost Range	YR 1 Audit Total	YR-3 Audit Total	Subtotal	
Low (\$1,000/tannery)	20000	\$20,000	\$40,000	
Midpoint(\$3,000/tannery)	\$60,000	\$60,000	\$120,000	
High (\$5,000/tannery)	\$100,000	\$100,000	\$200,000	

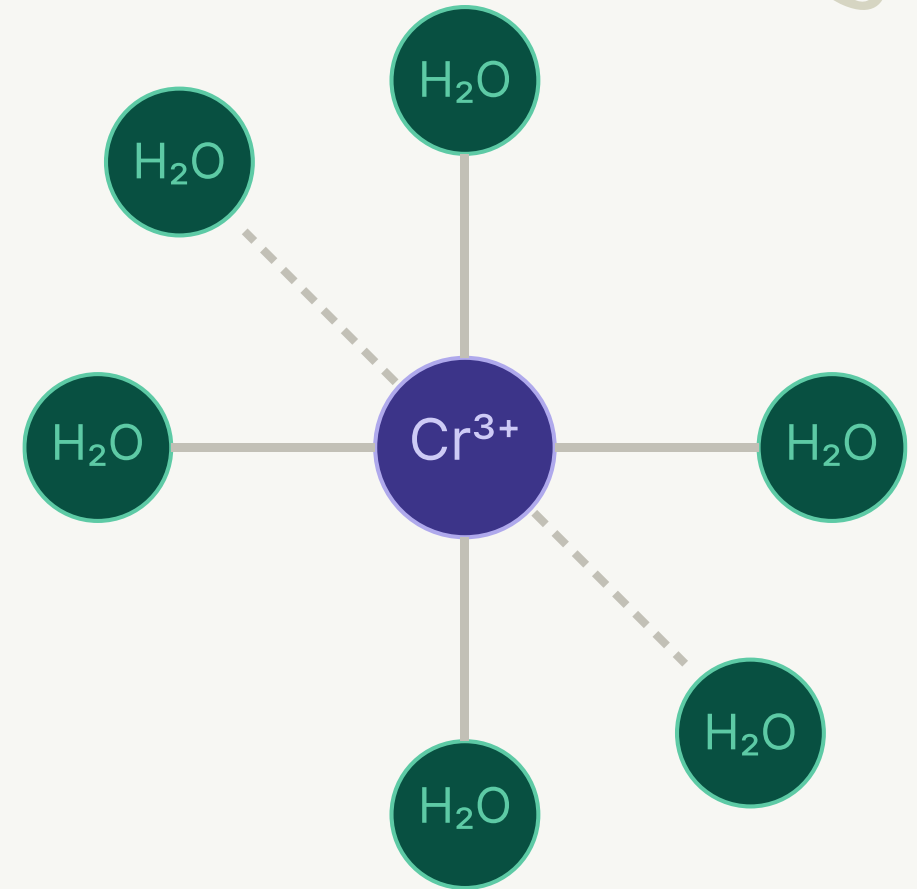
Appendix F4: Revenue Projections

Year	Total Costs (\$)	Average Resell Margin	Customer Rentention (1%)	Price Premium	Total Generated Revenue
Year 1	(\$147,155)	\$ 2,000,000	\$ 1,500,000	2,000,000	\$ 5,500,000
Year 2	(\$7,500)	\$ 2,000,000	\$ 1,500,000	\$ 2,000,000	\$ 5,500,000
Year 3	(\$97,155)	\$ 2,000,000	\$ 1,500,000	\$ 2,000,000	\$ 5,500,000
Total Generated Revenue		\$ 6,000,000	\$ 4,500,000	\$ 4,000,000	\$ 16,500,000

Conservative Revenue Estimate			
Current Revenue	Amount of Revenue Added	End Revenue	Percent Change
\$688,000,000	\$ 16,500,000	\$704,500,000	8.00%

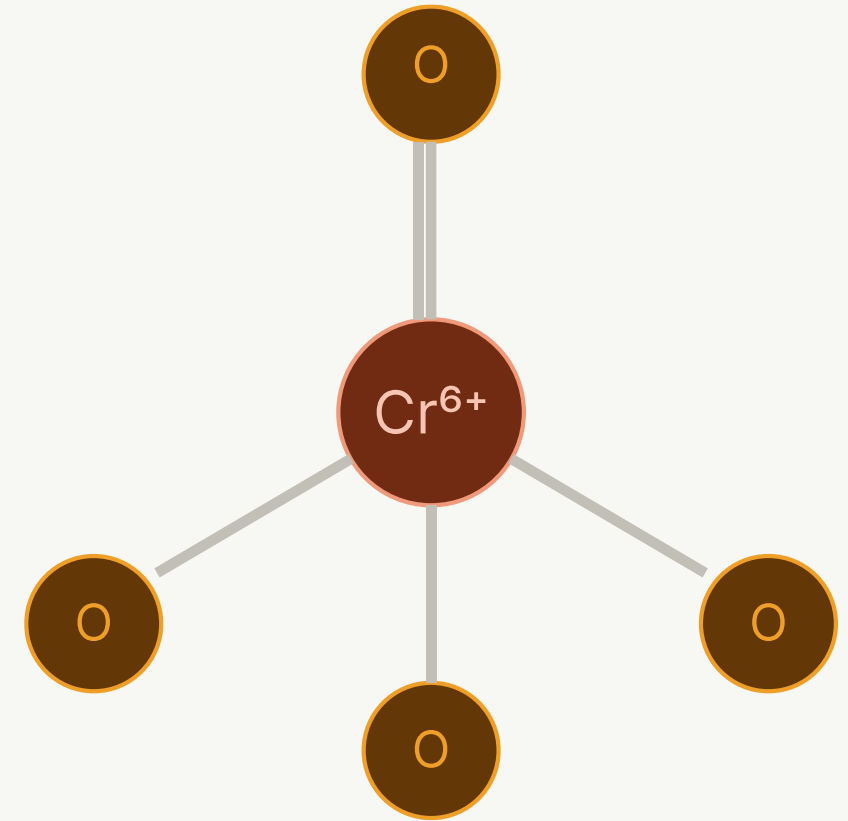
Appendix J1: Trivalent Chromium

- Naturally occurring micronutrient
 - Helps with insulin uptake
- Not inherently toxic
- Primarily used in chrome tanning
- CAN become hexavalent chromium if oxidization occurs

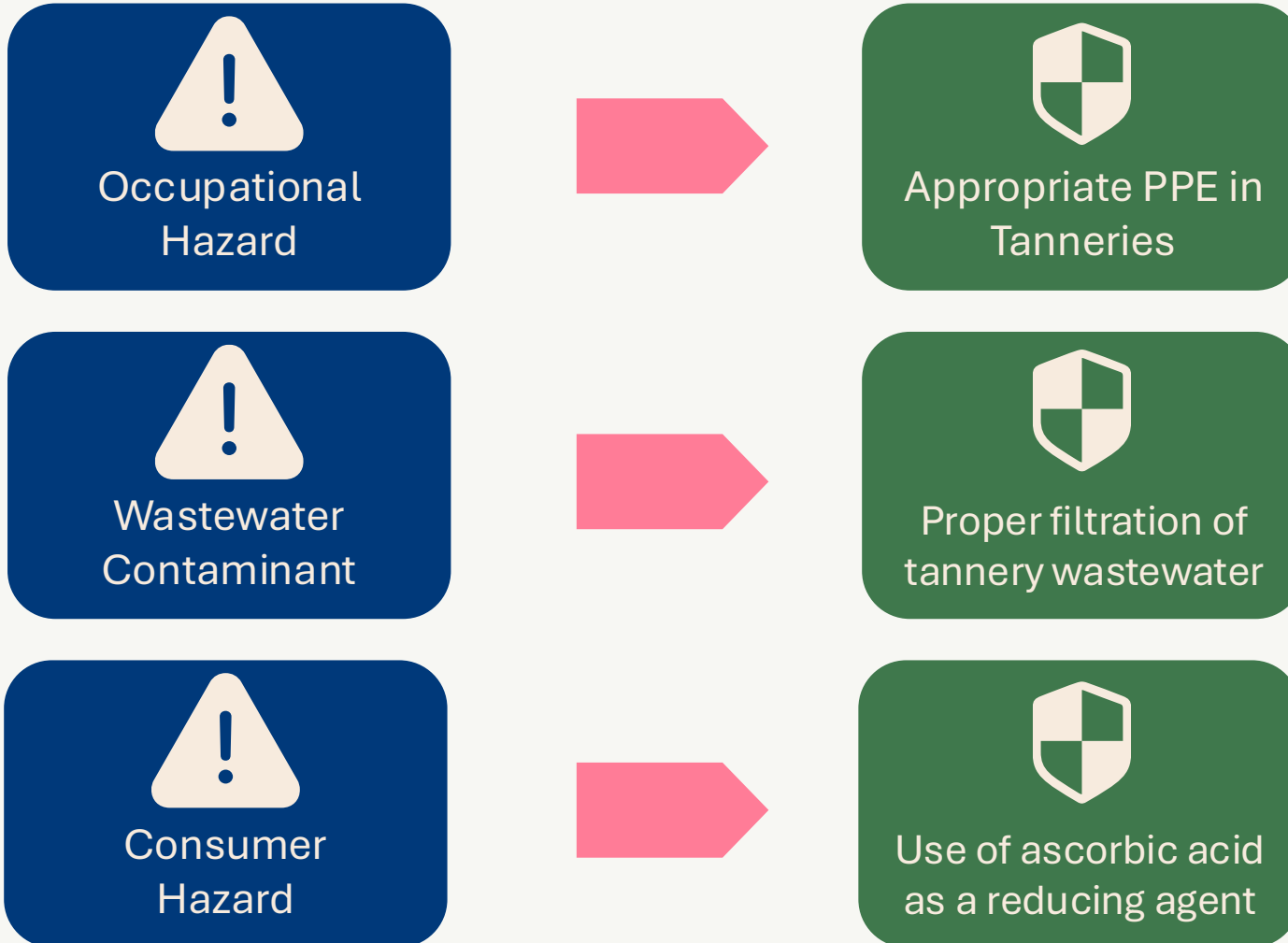


Appendix J2: Hexavalent Chromium

- Byproduct of leather tanning
 - Occurs when trivalent chromium oxidizes
 - Occupational, environmental, consumer hazard
- Inherently toxic & known carcinogen
- Primary element in Hinkley groundwater contamination case
- Can be effectively mitigated in the tanning process



Appendix J3: Hexavalent Chromium Mitigation



Appendix J4: Reuse of Wastewater

Water reuse in the post-tanning process: minimizing environmental impact of leather production



Question

Can treated wastewater be reused during the post-tanning stage of leather production to reduce environmental impact?



Process

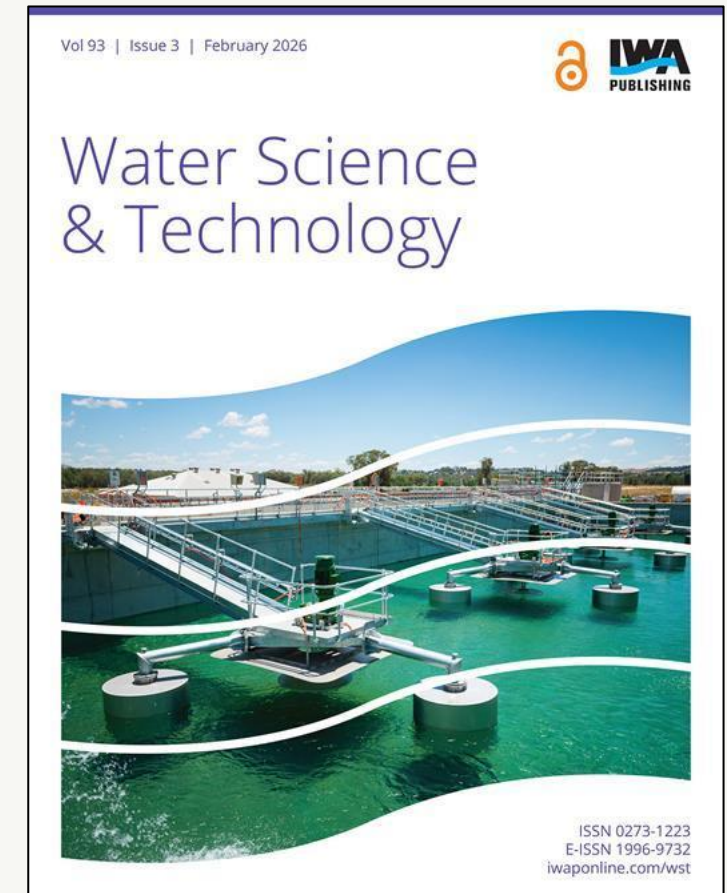
Pilot post-tanning tests with groundwater, primary, & secondary treated wastewater, analyzed leftover process baths & leather quality.



Finding

Both primary and secondary treatments can successfully be used in the post-tanning process without meaningful harm to leather quality.

Water & Science Technology
2022 Jan;85(1):474-484



Rodrigo Miguel Klein, Éverton Hansen, Patrice Monteiro de Aquim, Et al.

Appendix J5: Consumer Impacts of Chromium

Chromium and cobalt in leather: A Danish market survey



Question

Chromium from leather products is a known cause of contact dermatitis. The purpose is to measure chromium levels in Danish goods.



Process

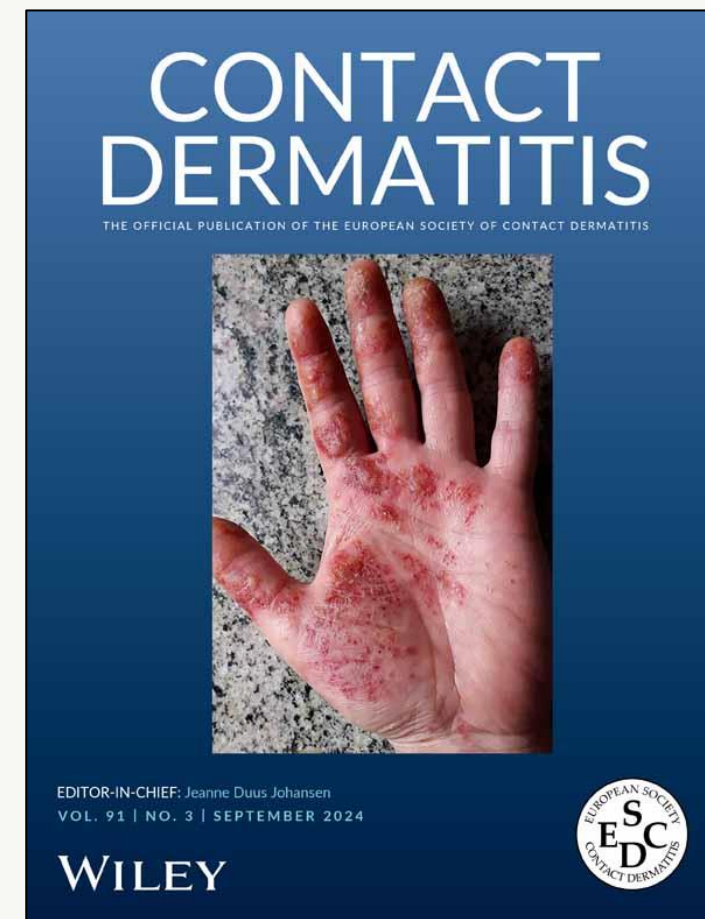
87 Leather samples collected. Handheld X-ray fluorescence used to screen for presence of chromium. ISO standards utilized.



Finding

83% of samples contained chromium. Hexavalent chromium was identified in 35% of samples. 1% of samples contained levels above regulatory thresholds.

Contact Dermatitis
2024 Nov;91(5):398-403



Mikkel Bak Jensen, Farzad Alinaghi, Ivan Chen, Et al.

Appendix J6: Chromium Depollution

Depollution of Polymeric Leather Waste by Applying the Most Current Methods of Chromium Extraction



Question

Review of existing literature focusing on removal of chromium-laden solid waste from chrome-tanned leather.



Process

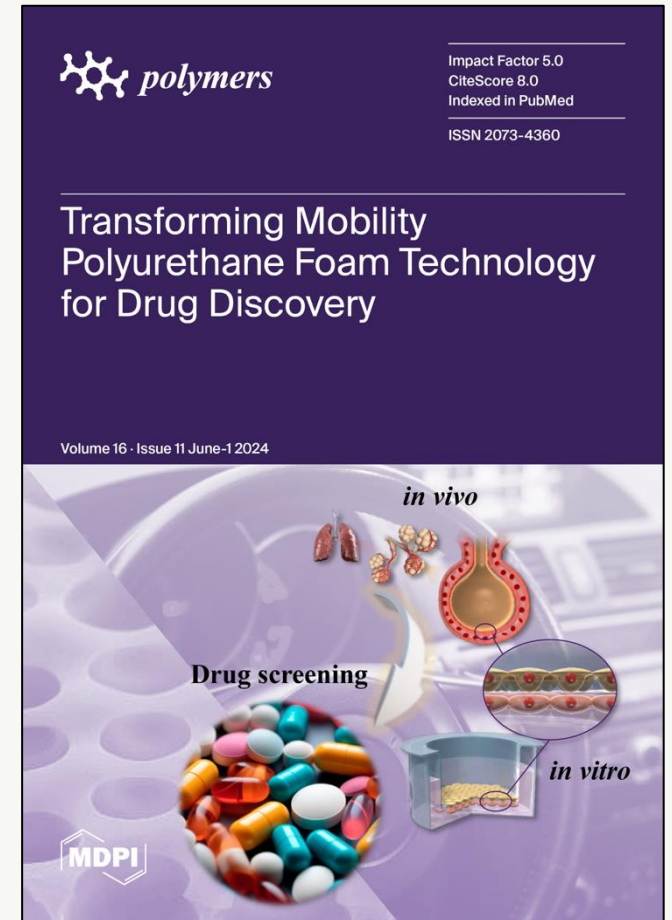
Authors surveyed current methods of chromium extraction. Methods included acid, basic, and enzymatic hydrolysis, organic acids & salts, and ultrasound technologies.



Finding

Depolluting chrome-tanned leather waste and recovering material is possible, but certain methods present scaling challenges.

Polymers (Basel)
2024 May 30;16(11):15462024



Ana-Maria Nicoleta Codreanu Manea,
Daniela Simina Stefan, Lidia Kim, Et al.

Appendix J7: Vegan Leather Sustainability

Vegan leather: a sustainable reality or a marketing gimmick?



Question

Review of existing literature focusing on vegan leather and overall sustainability compared to bovine leather.



Process

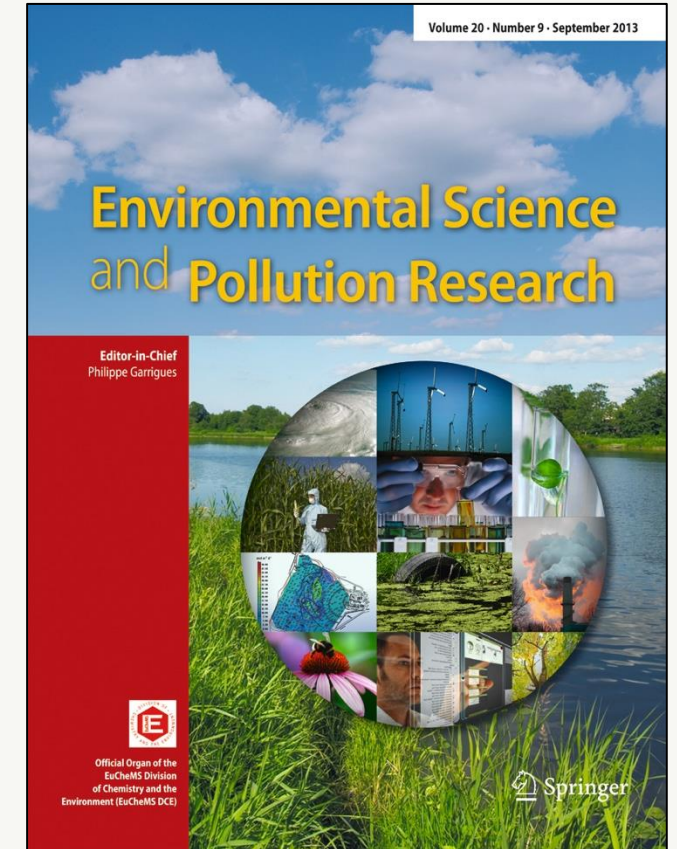
Authors reviewed across three categories: synthetic leather, plant-based leather, and next-generation mycelium/cellulose materials.



Finding

Almost every commercially available vegan leather product uses PU or PET as a binder or coating. These are not biodegradable or natural.

Environmental Science & Pollution
2024 Jan;31(3):3361-3375



Srishti Tewari, Shamlan M S
Reshamwala, Latika Bhatt, Et al.

Appendix J8: Vegan Leather Durability

Effects of Humidity on Mycelium-Based Leather



Question

Materials science study examining how moisture and humidity affect the physical properties of mycelium-based leather.



Process

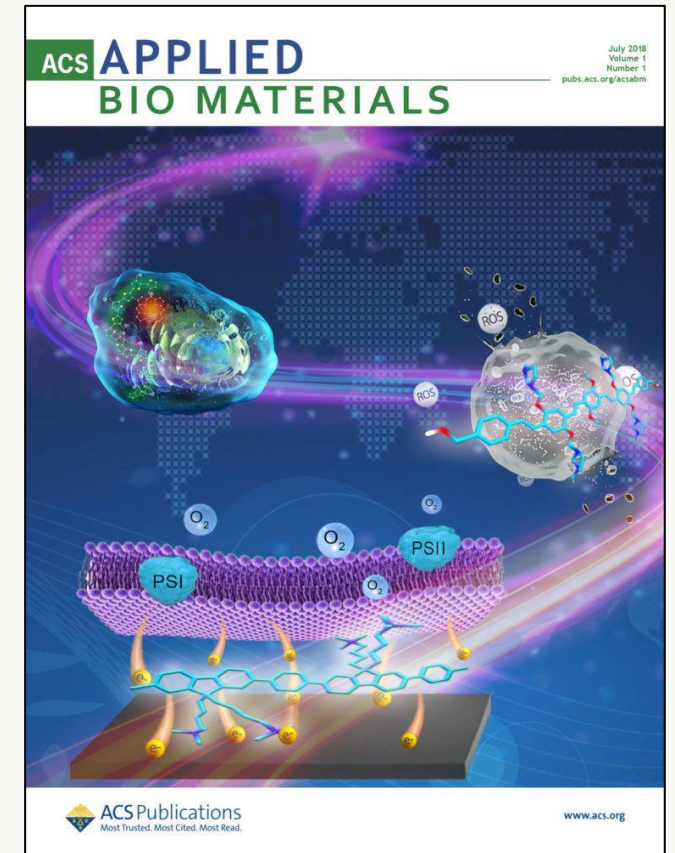
Several mycelium leather samples were exposed to different humidity levels and measuring change in stiffness and elasticity. Traditional tensile strength and ultrasonic pulse testing utilized.



Finding

Moisture consistently weakens the vegan leather. As humidity increased, resistance to deformation dropped significantly. First exposure resulted in irreversible damage.

ACS Applied Bio Materials
2024 Oct 21;7(10):6441-6450



Ashoka Karunaratne, Günel Nabiyeve,
Christopher J Rasmussen, Et al.

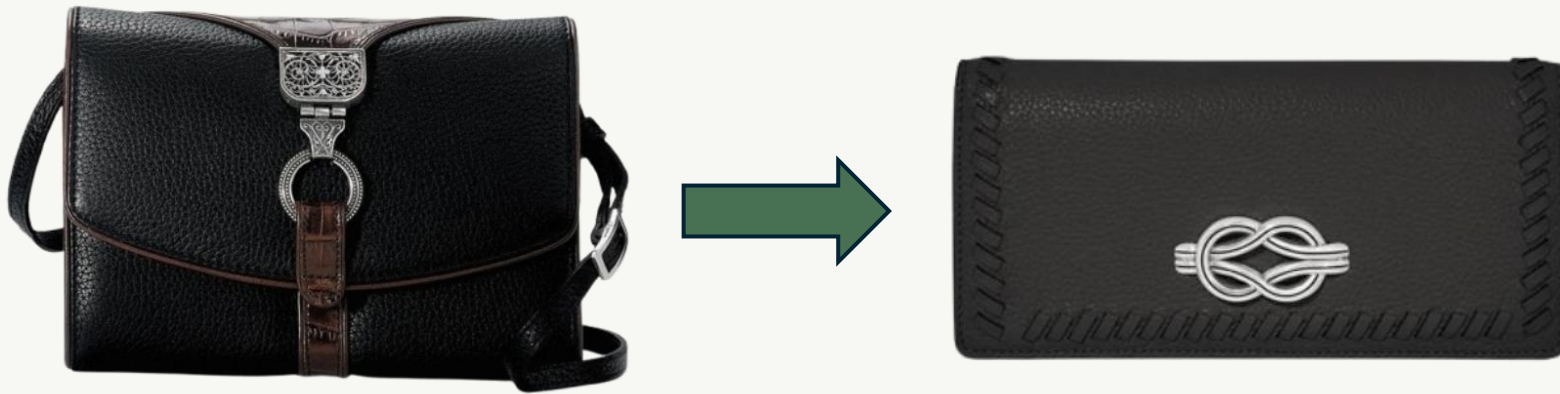
Appendix R1: Risks and Mitigations



Risks	Mitigations
Political headwinds: Current political climate looks to be anti sustainability	Shift heavily to a sustainability niche and focus exclusively on capturing that market
Decrease in brand image: Increase in sustainability can be correlated with a decrease in quality	Focus advertising on highlighting quality along with sustainability
Difficulty scaling: New Restoration Room may be hard to open in each store locations	Centralize to a few locations and ship all bags to those locations
Marketing failure: “Love it Longer” campaign fails to land with our audience	Shift back to old brand messaging that has resonated with audience in the past
Supplier Push Back: Suppliers may be hesitant to meet new sustainability criteria	Give suppliers more time to comply, and if they are still resistant find new suppliers who will
Low Usage Rate: Potential for consumers not to use the Restoration Rooms	Repurpose Restorations rooms to just donations or repairs and remove customization

Appendix S1: The “Love it Longer” Campaign

- Highlight durability and upcycling
- Showcase a product being passed down from generation to generation
- Ends with a handbag turning into a something new



Appendix S2: Restoration Room Flow Chart

